



Integrating Marketing, Operations, and Purchasing to Create Value

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For years many researchers and practitioners have been calling for a more boundary-spanning or cross-functional view of the management of businesses. As any student of optimization will note, the combination of several optimized sub-systems will rarely, if ever, result in a globally optimized system. It is much the same with a business. Decisions that may appear extremely good within the confines of a single organizational area are often clearly dysfunctional when viewed from other areas of the organization. To effectively compete in today's marketplace, firms need to effectively link their diverse functional areas. This article provides an example of how the marketing, operations, and purchasing areas can be effectively linked to accomplish the common goal of effectively competing in the value market segment of consumer goods and services.

Key words—decision support systems, effectiveness, group decisions, integration, retailing

INTRODUCTION

IN THE USA AND VARIOUS other countries, there has been a significant shift in consumer tastes toward more value-oriented products and services, where value is often loosely defined as a perceived quality-to-cost ratio. While the value segment has long been the dominant sector in consumer goods and services, this segment has grown significantly in recent years. Stagnant incomes, a global recession, and attitudinal changes to more conservative lifestyles have all contributed to the tremendous growth of the value segment for consumer products and services. In response to the growth of the value segment, many firms are now rushing to re-position themselves as providing value products and services.

The expected result has been an increase in competition in this already highly-competitive segment of the market. This increased competition has strained the ability of firms worldwide to remain profitable. These firms must often reduce their prices to improve the per-

ceived value of their products. The natural result is increased pressure on firms to control costs.

The purpose of this paper is to identify and demonstrate how an integrated approach to marketing, operations, and purchasing can provide opportunities for a firm to lower costs and increase sales of products and services in the value market segment. Integration of these diverse functional areas allows a retail firm to effectively link the supplier negotiation and selection tasks, as well as the buying decisions of the purchasing area; the store layout and management decisions of the operations area; and the merchandising decisions of the marketing area. The retail setting used to illustrate this integrated approach is the grocery industry. The grocery industry provides an excellent backdrop because it represents a crowded and very large retail market with standard and substitutable products, highly visible dominant players (supermarkets), a large value market segment, and extreme cost competition. Benefits from better integrating these separate functional